Operation Management

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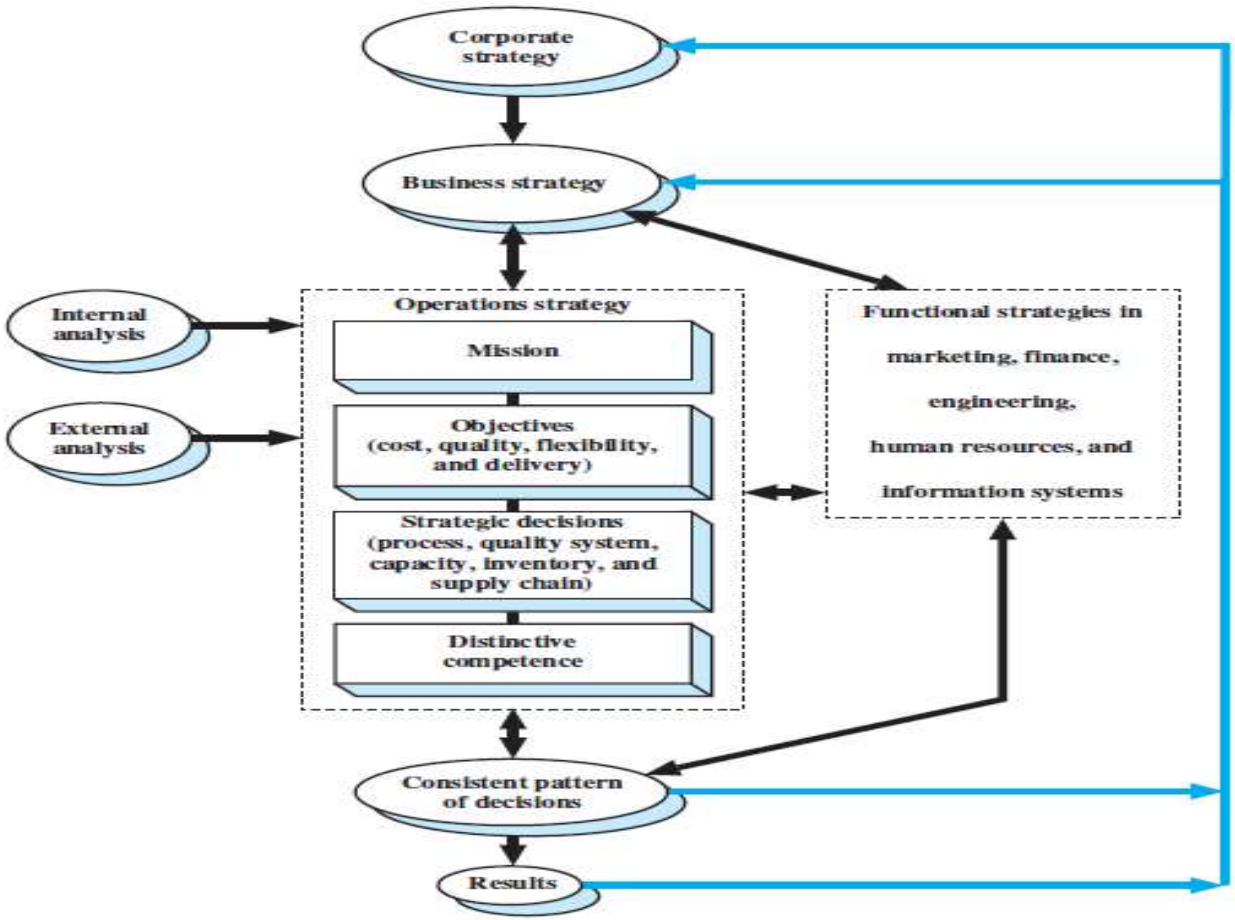
<MBACCZG526> Operation Management> Lecture No. 2

Strategy

FIGURE 2.1
Operations strategy process.



Source: Roger Schroeder | Susan Meyer Goldstein

Different Types of Strategy

Corporate Strategy :

Actions firms take to gain competitive advantages by operating in multiple markets or industries simultaneously.

1. Vertical Integration.
2. Corporate Diversification.
3. Strategic Alliances.
4. Mergers and Acquisitions.

Different Types of Strategy

Business Strategy :

Actions firms take to gain competitive advantages in a single market or industry.

1. Cost Leadership.
2. Product Differentiation.
3. Focus.

Different Types of Strategy

Functional Strategy :

Actions firms take to gain competitive advantages by operating within the organization.

1. Marketing Strategy.
2. Operation/ Manufacturing Strategy.
3. Human Resource Strategy.
4. Supply Chain Strategy/ Sourcing Strategy.
5. Strategic Finance.

Why Functional Strategy

Functional Strategy are important because :

1. Improve Supply Chain.
2. Reduce costs and exchange rate risks.
3. Improve Operations.
4. Understand markets.
5. Attract and Retain Global Talent.

Operation Strategy

Prepared by Prof. Abhishek Maiti for the use of the students of Operation Management

1. Mission & Vision.
2. Internal and External Analysis :
   - SWOT analysis.
   - PESTEL Analysis
3. Strategic Choice & Strategy Implementation.
4. Competitive Advantage.

Mission of Reliance Industries

- Create value for all stakeholders.
- Grow through innovation.
- Lead in good governance practices.
- Use sustainability to drive product development and enhance operational efficiencies.
- Ensure energy security of the nation.
- Foster rural prosperity.

Vision of Reliance Industries

Through sustainable measures, create value for the nation, enhance quality of life across the entire socio-economic spectrum and help spearhead India as a global leader in the domains where we operate.

Internal Analysis : SWOT

- S = Strength
- W = Weakness
- O = Opportunity
- T = Threat

SWOT Analysis: Titan

Strength

- Strong Presence in Indian market.
- Good distribution network.
- Segmentation and positioning with Raga, Sonata, Fast track.
- Diverse portfolio for Mass market, Mid market and Premium market.
- High investment on R & D.

SWOT Analysis: Titan

Weakness

- Lesser global presence.
- Lack of own OS/Software.
- Limited Market Share in Smart Watch Category.

SWOT Analysis: Titan

Opportunities

- Partnership with HP. Industrial Smart safety watch. Economies of scope.
- Acquisition of Hyderabad based smart watch maker HUG Innovations to get benefit of patented gesture control technology.
- Exclusive Watches for E-commerce platform.

SWOT Analysis: Titan

Threat

- Presence of strong brands like Apple, Samsung, Casio and Timex.
- Titan watches are bought for gifting purpose.
- Other time keeping machine.
- Counterfeit Products.

Take Home Discussion

Do the SWOT Analysis of Apple.

External Analysis : PESTEL

- P = Political
- E = Economic
- S = Social
- T = Technological
- E = Environment
- L = Legal

Class Discussion

Do the PESTEL Analysis of EVs.

Strategic Choice & Strategy Implementation

Three generic strategies to achieve competitive advantage:

1. Cost Leadership.
2. Differentiation.
3. Response

Achieving Competitive Advantage through Operations

Competitive Advantage

- The creation of unique advantage over its competitors.
- The idea is to create customer value in an efficient and sustainable way.

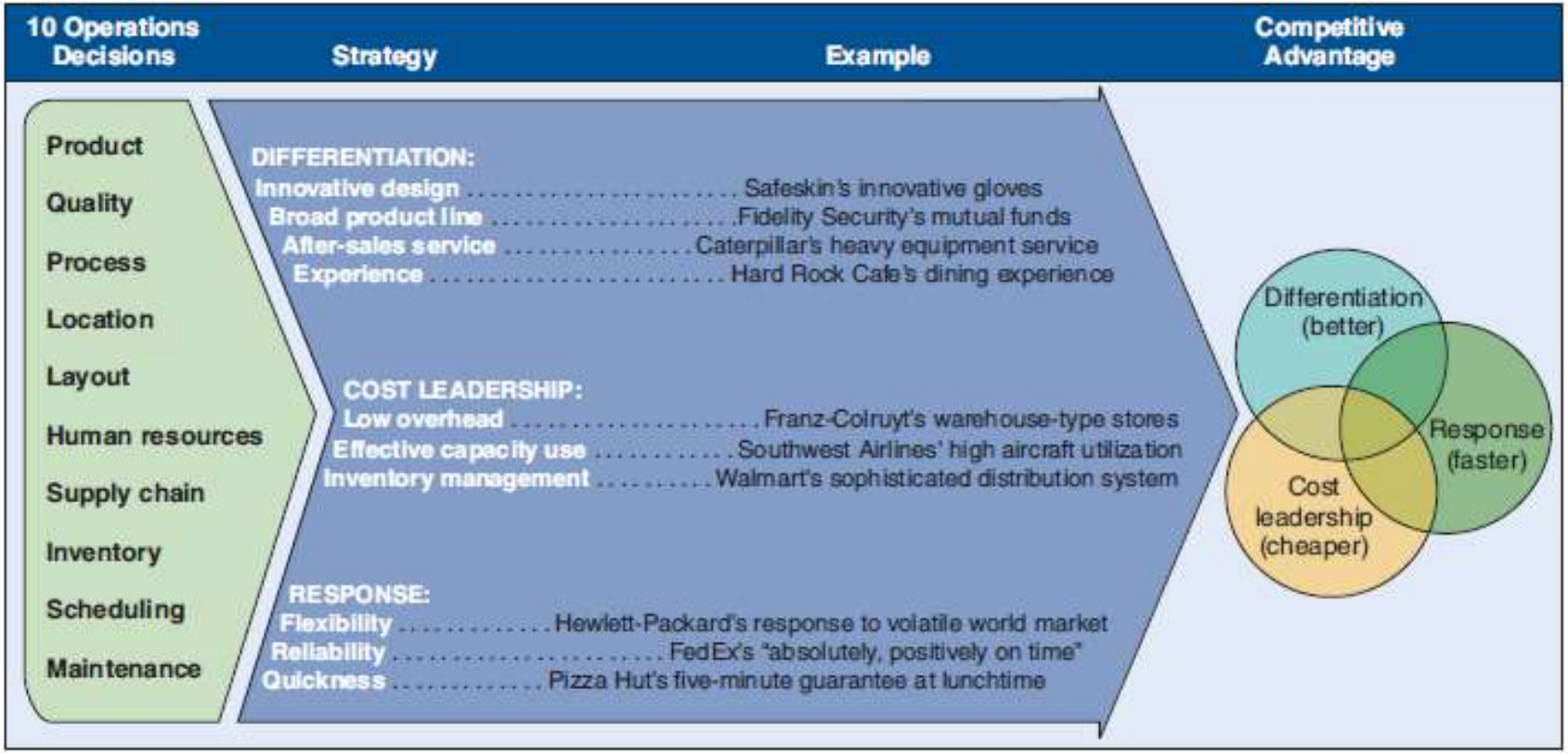


Figure 2.4

Achieving Competitive Advantage Through Operations

Source: Heizer, Render, Muckson

Issues in Operation Strategy

- Resource Based Views
- Value Chain Analysis.
- 5 Forces Model.
- Product Lifecycle Concept.

RBV approach

1. Identify and classify the firm's resources.
2. Identify the firm's capabilities. What can the firm do more effectively than its rivals.
3. Appraise the earning potential.
4. Sustain the competitive advantage by identifying the gaps that need to be filled with resources.

VRIN Framework

V = Valuable

R = Rare

I = Imitability (Direct Duplication)

N = Non-Substitute

Valuable	Rare	Costly to Imitate	Nonsub-stitutable	Competitive Consequences	Performance/ Returns
✔	✘	✘	✘	Disadvantage	Below Average
✔	✘	✘	✔ / ✘	Parity	Average
✔	✔	✘	✔ / ✘	Temporary Advantage	Aver./Above Average
✔	✔	✔	✔	Sustainable Advantage	Above Average

Value Chain Analysis

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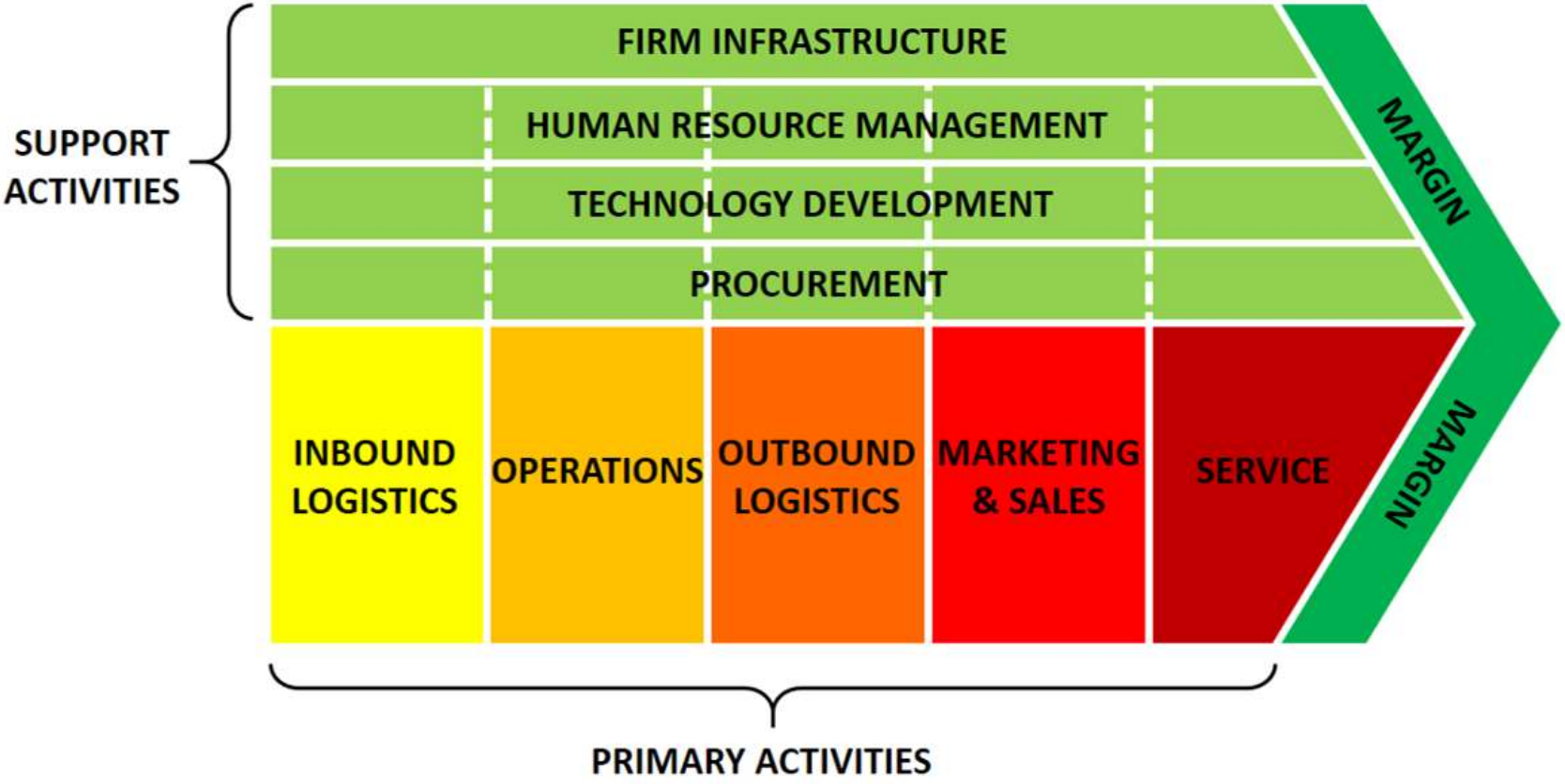
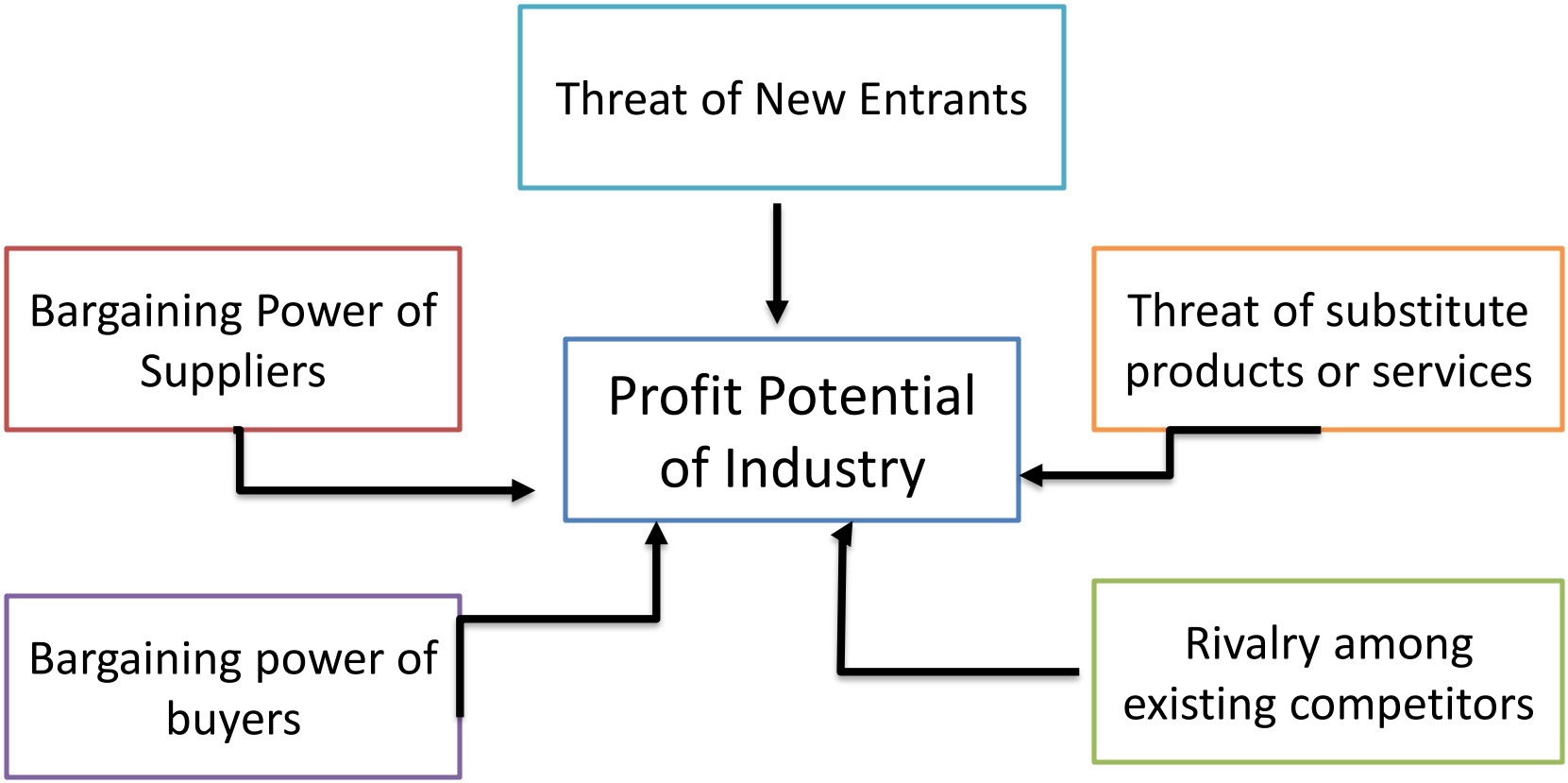


Source: www.business-to-you.com

India's Low Cost Retailer : Big Bazaar

Source: campaignindia.in

Porter's 5 force Analysis



Product Lifecycle

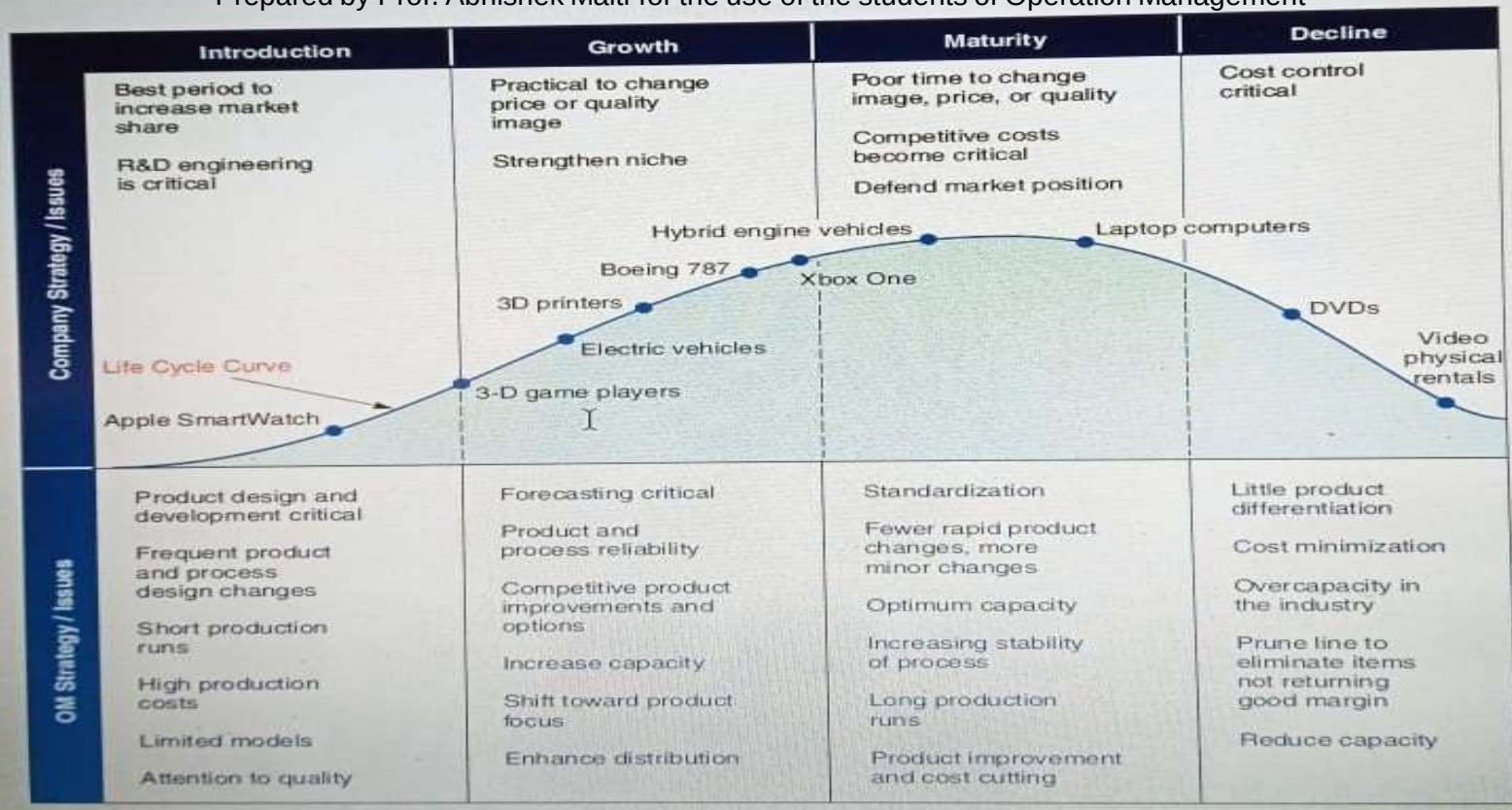


Figure 2.5
Strategy and Issues During a Product's Life

Source: Heizer, Render, Muckson

Core Competence and KSF

- Core Competence is company's collective knowledge about how to coordinate diverse production skills and technologies.
- Core competence are the sources of competitive advantage to multiply internal resources and enable the form to introduce an array of new products and services.
- Core competencies lead to the development of core products.
- **Key Success Factors (KSF)** : Activities or factors that are key to achieving competitive advantage. Example is Kitchen Layout of McDonald.

Activity Map

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- **Activity map:** A graphical link of competitive advantage, KSFs, and supporting activities.

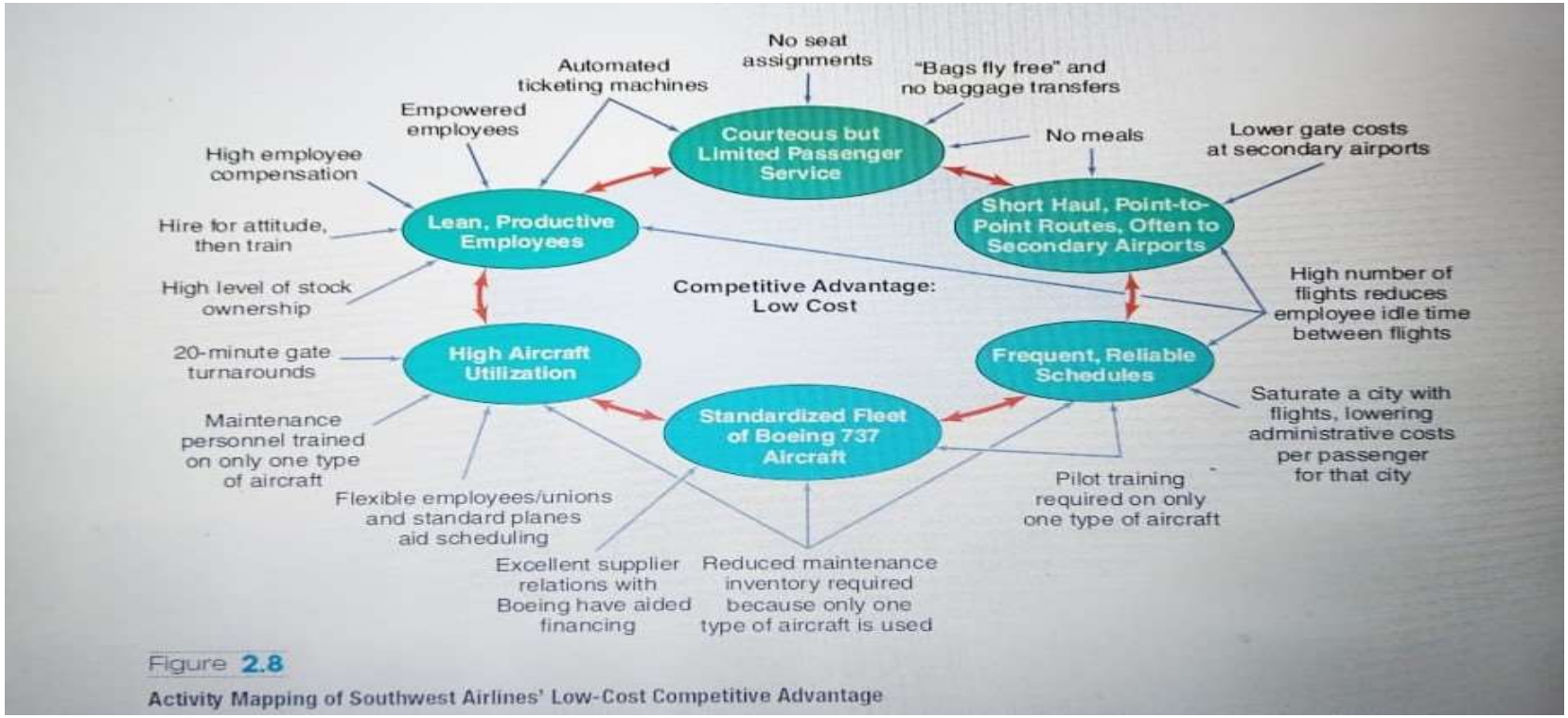

Figure 2.8
Activity Mapping of Southwest Airlines' Low-Cost Competitive Advantage

Source: Heizer, Render, Muckson

Ryanair: matching the activity system to the strategy

Prof. Robert Grant – Bocconi University, Italy

Theory of comparative Advantage

- The theory which states that countries benefit from specializing in (and exporting) products and services in which they have relative advantage and importing goods in which they have a relative disadvantage.
- Competitive advantage of Nations.

Global Operations Strategy

- International strategy : A strategy in which global markets are penetrated using exports and licenses.
- Multi-domestic strategy :A strategy in which operating decisions are decentralized to each country to enhance local responsiveness.
- Global strategy : A strategy in which operating decisions are centralized and headquarters coordinates the standardization and learning between facilities.
- Transnational strategy : A strategy that combines the benefits of global-scale efficiencies with the benefits of local responsiveness.

Global Operations Strategy

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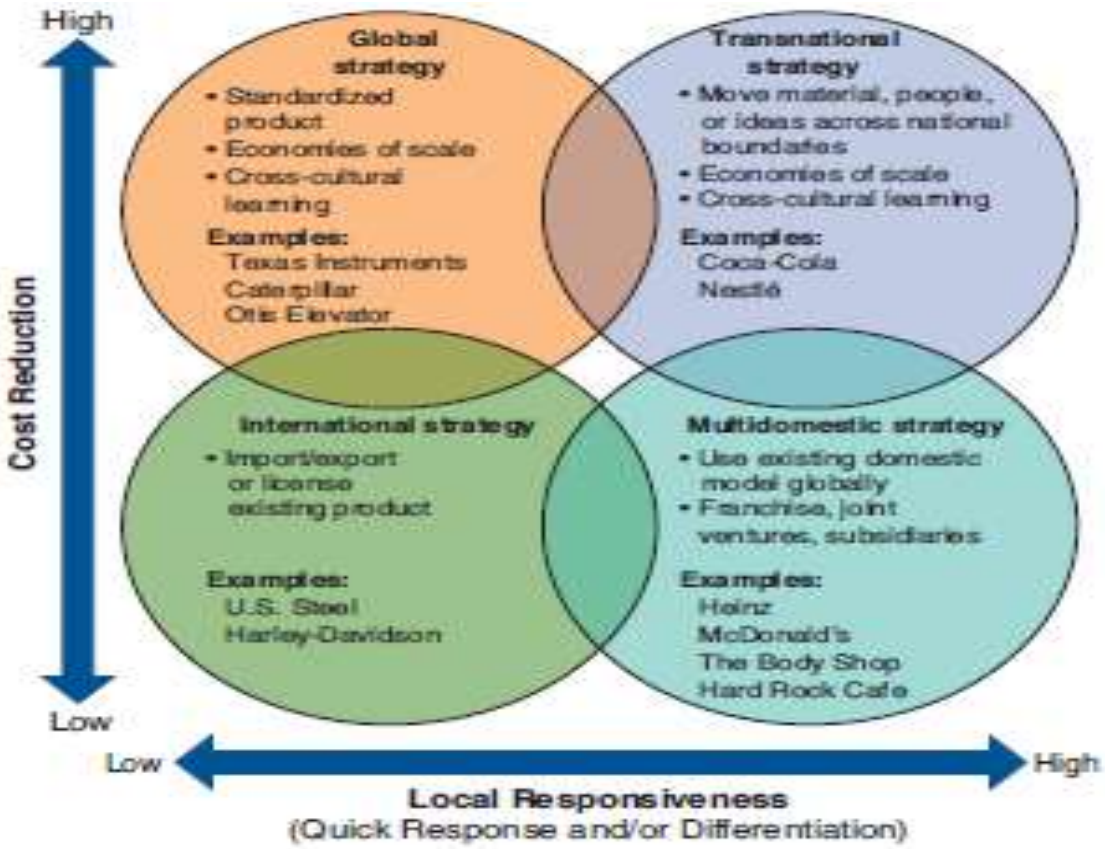

Source: Heizer, Render, Muckson

Outsourcing Strategy

Advantages	Disadvantages
Cost Savings	Increased Logistics and Inventory Costs
Gaining outside expertise that comes with specialization	Loss of control (Quality, Delivery, etc.)
Improving Operations and Service	Potential Creation of Future competition
Maintaining a focus on Core competencies	Negative Impact on employees
Accessing Outside technology	Risk may not manifest themselves for years

From Strategy to Action: BSC

- Balance Score Card is popularly known as BSC.
- BSC is a top down management system that an organization can use to clarify their vision and strategy and transform them into action.
- It was developed by Kaplan and Norton.
- It is also used as one of the tool for Recognize phase of Six Sigma.

Balance Score Card (BSC)

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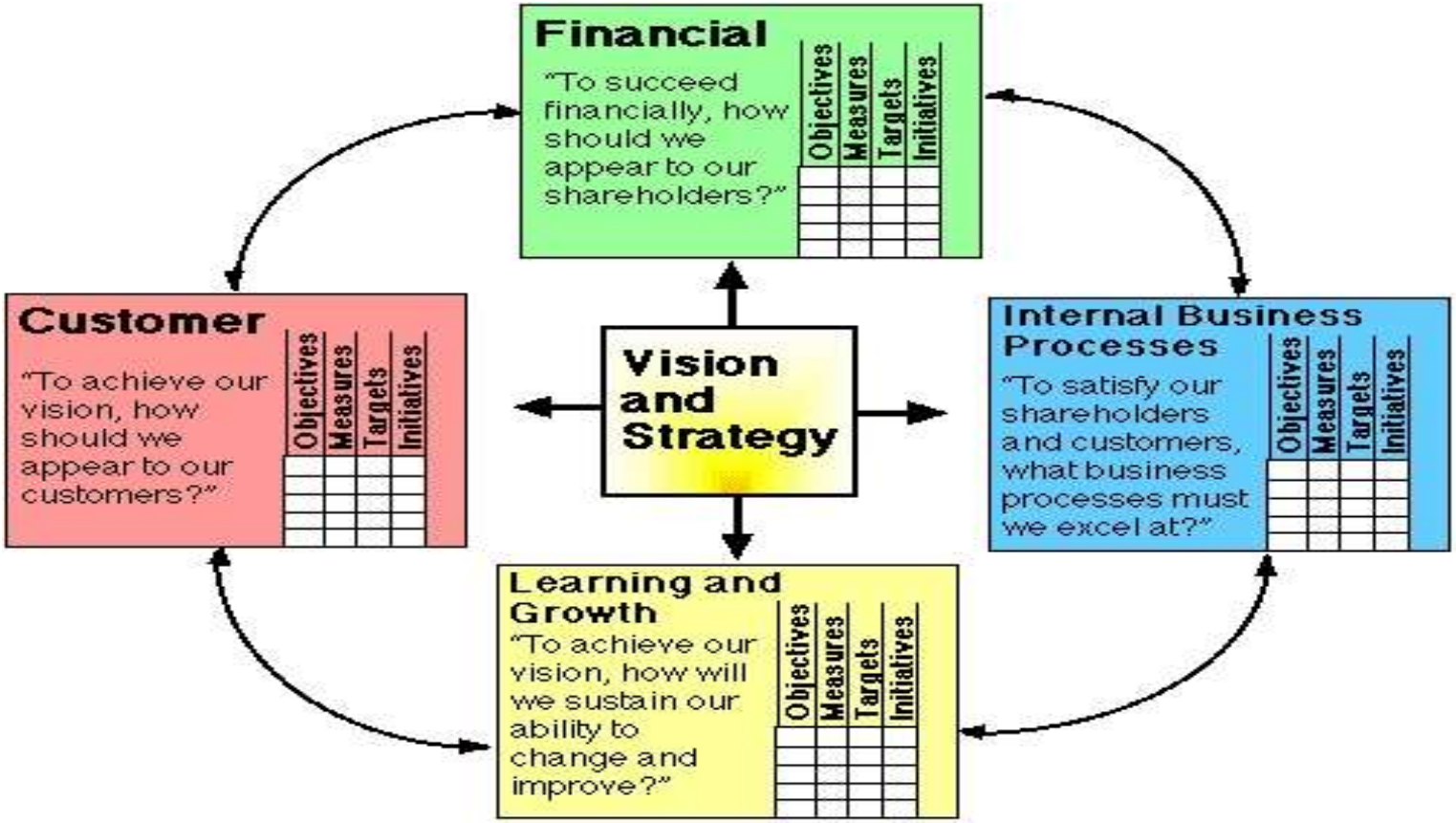

Source: Robert S. Kaplan and David P. Norton, *Balanced Scorecard: Translating Strategy into Action* (Cambridge, MA: Harvard Business School Press, 1996).

Balance Score Card (BSC)

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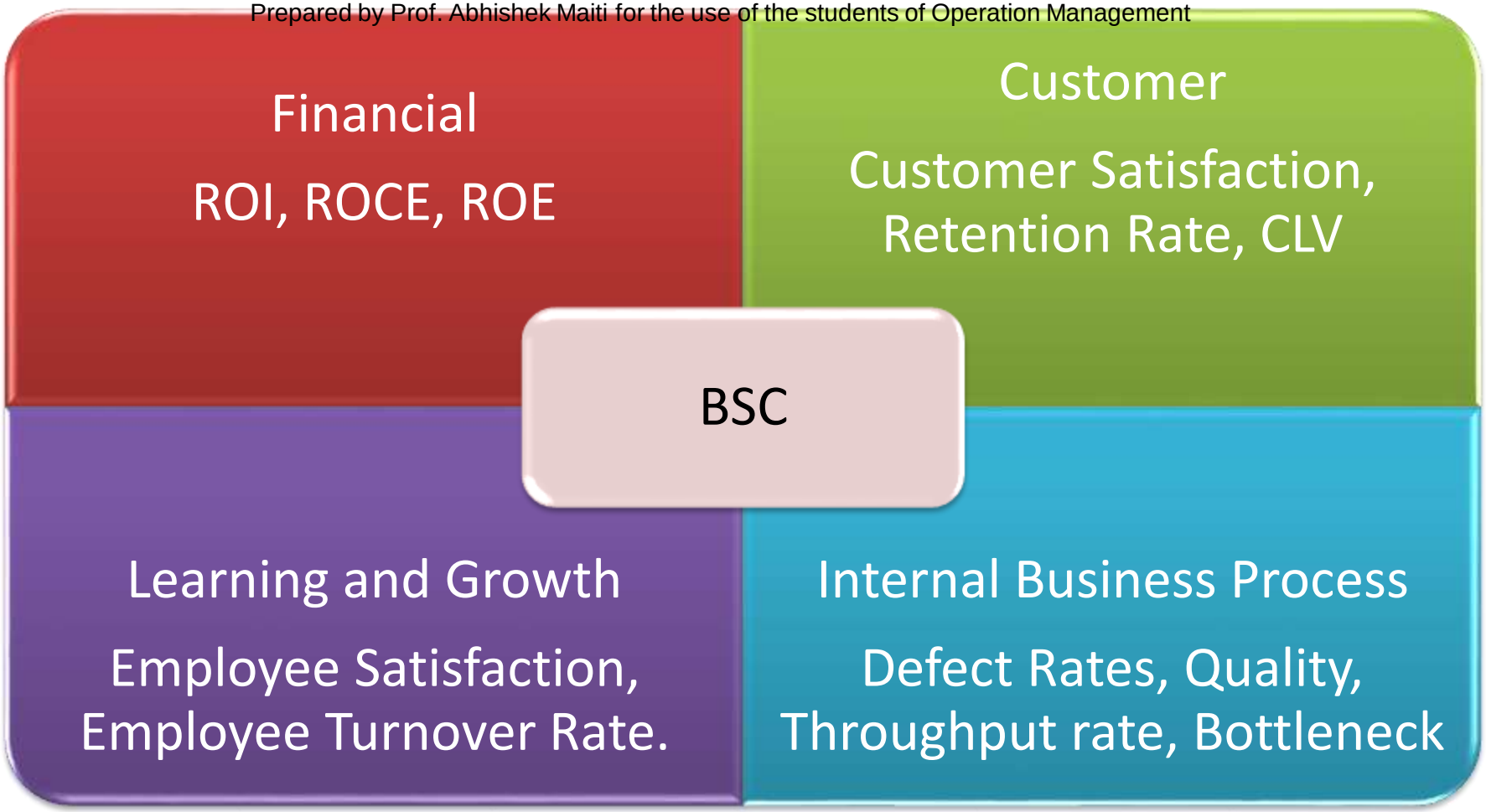

Any Question

Take Home Exercise

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Example 1

RATING PROVIDER SELECTION CRITERIA

National Architects, Inc., a San Francisco–based designer of high-rise office buildings, has decided to outsource its information technology (IT) function. Three outsourcing providers are being actively considered: one in the U.S., one in India, and one in Israel.

APPROACH ► **National's VP–Operations, Susan Cholette, has made a list of seven criteria she considers critical. After putting together a committee of four other VPs, she has rated each firm (boldface type, on a 1–5 scale, with 5 being highest) and has also placed an importance weight on each of the factors, as shown in Table 2.3.**

TABLE 2.3 Factor Ratings Applied to National Architects' Potential IT Outsourcing Providers

FACTOR (CRITERION)*	IMPORTANCE WEIGHT	OUTSOURCE PROVIDERS		
		BIM (U.S.)	S.P.C. (INDIA)	TELCO (ISRAEL)
1. Can reduce operating costs	.2	.2 × 3 = .6	.2 × 3 = .6	.2 × 5 = 1.0
2. Can reduce capital investment	.2	.2 × 4 = .8	.2 × 3 = .6	.2 × 3 = .6
3. Skilled personnel	.2	.2 × 5 = 1.0	.2 × 4 = .8	.2 × 3 = .6
4. Can improve quality	.1	.1 × 4 = .4	.1 × 5 = .5	.1 × 2 = .2
5. Can gain access to technology not in company	.1	.1 × 5 = .5	.1 × 3 = .3	.1 × 5 = .5
6. Can create additional capacity	.1	.1 × 4 = .4	.1 × 2 = .2	.1 × 4 = .4
7. Aligns with policy/philosophy/culture	.1	.1 × 2 = .2	.1 × 3 = .3	.1 × 5 = .5
Total Weighted Score		3.9	3.3	3.8

*These seven major criteria are based on a survey of 165 procurement executives, as reported in J. Schildhouse, *Inside Supply Management* (December 2005): 22–29.

SOLUTION ► Susan multiplies each rating by the weight and sums the products in each column to generate a total score for each outsourcing provider. She selects BIM, which has the highest overall rating.

INSIGHT ► When the total scores are as close (3.9 vs. 3.8) as they are in this case, it is important to examine the sensitivity of the results to inputs. For example, if one of the importance weights or factor scores changes even marginally, the final selection may change. Management preference may also play a role here.

LEARNING EXERCISE ► Susan decides that "Skilled personnel" should instead get a weight of 0.1 and "Aligns with policy/philosophy/culture" should increase to 0.2. How do the total scores change? [Answer: BIM = 3.6, S.P.C. = 3.2, and Telco = 4.0, so Telco would be selected.]

RELATED PROBLEMS ► 2.8, 2.12

EXCEL OM Data File Ch02Ex1.xls can be found in MyOMLab.

Source: Heizer, Render, Muckson

Further Reading / References

1. **Operation Management by Jay Heizer, Barry Render & Chuck Munson—Chapter 2**
2. The Five Competitive Forces that shape strategy by Michael E Porter, Harvard Business Review (Best Seller)—January 2008
3. Strategic Management and Competitive Advantage—Concept and Cases by Jay B. Berney and William S Hesterly—Chapter 2
4. Operation Management by William J Stevenson—Chapter 2

How to Study

1. Listen to the Class Lectures.
2. Go through the Specific Chapter of the Text Book **Operation Management by Jay Heizer, Barry Render & Chuck Munson.**
3. Read the Slides (Ppt) available in Taxila / MS Teams
4. Solve the questions and problems of the text book and on the slides.
5. Clear all Generic doubt in the next class and send mail for the specific doubt (if any).
6. All are welcome to see the recordings, attend the live session, read the material and participate in class discussion.

THANK YOU